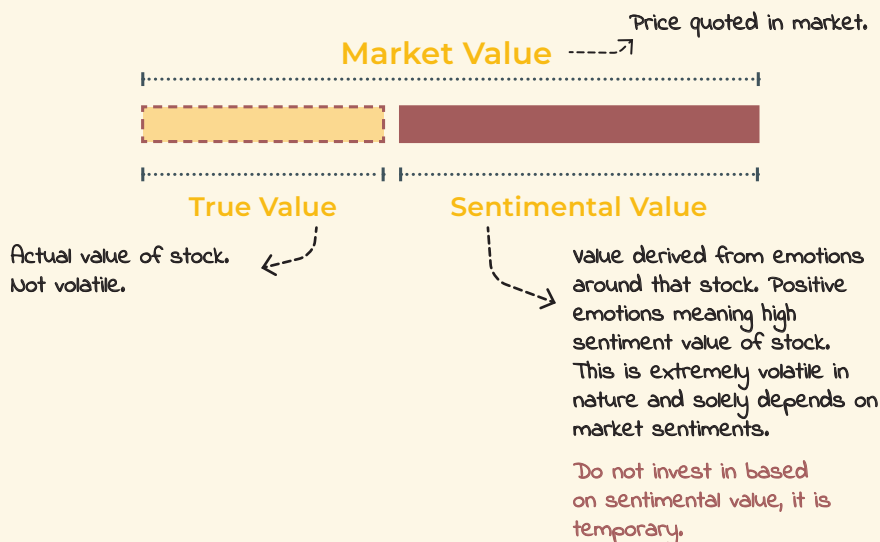


Relation between Market Value and True Value.



Say for a company, the true value estimated is Rs. 100, So we can say that Rs. 50 is sentiment value due to positive sentiment around the company and the market value is Rs. 150.

On the other hand, Sentimental value can also be negative in some cases where the market is not so bullish about the stock. Say, you assume a company to be worth Rs. 100 per share but is quoting for Rs. 50. So the sentiment around it is not too positive i.e negative 50.

True Value	Rs. 100
Sentimental Value	(-) Rs. 50
Market Value	Rs. 50

In these cases, such stock is trading at a discount than it's actual intrinsic price.

Now, the catch is, you can easily find the market value on BSE website/stock market applications.

However, the split between true value and sentiment value is something that every investor needs to analyse and estimate. If you are roughly correct, you will earn good return.

The art of valuation is important.

$\rightarrow$ we will need to evaluate the true value of stocks and take investment decisions based on them. We will learn more about this in the further chapter.